

Philip Morris International

Ticker Name: NYSE: PM
Target Price: \$233.54
Investment Horizon: 5 years



Company Overview



Business Overview & Strategies

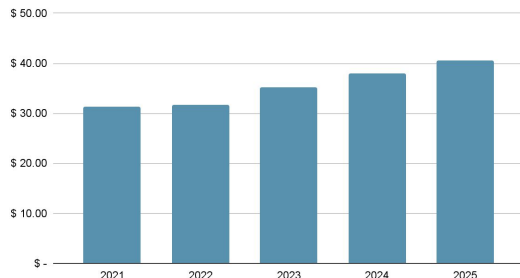
Overview: Philip Morris International is a global nicotine company transitioning from traditional combustibles to a smoke-free product platform. Its portfolio includes IQOS heated tobacco, ZYN nicotine pouches, and legacy cigarette brands like Marlboro. The company is strategically repositioning itself to capture long-term demand shift toward reduced-risk nicotine consumption.

Strategies:

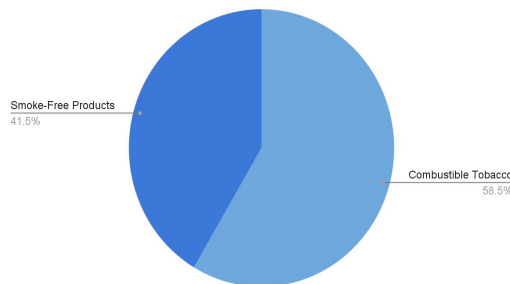
- Global nicotine platform transitioning from declining combustibles to a multi-format smoke-free ecosystem
- Owns a dual-track portfolio: legacy cigarette cash flows + next-gen products (IQOS heated tobacco, ZYN nicotine pouches)
- Positioned at the center of a structural consumer shift toward reduced-risk nicotine consumption

Revenue Distribution & Shift

Annual PMI Revenue (~Billion)



Revenue Breakdown (2025)



Current Market Overview

Stock Price	\$162.75	Mkt Cap	253.65B
52-wk low	\$142.11	52-wk high	\$191.30
EBITDA (TTM)	\$18.72MM	Shares Outstanding	1.56B
EV	~\$294.03 B	Gross Margin	67.12%

Consumer Breakdown

Legacy (Declining)

Future Growth

Traditional
Smokers
(~58%)

IQOS + ZYN +
VEEV
(~42%)



Smoke-free

≠

Smokeless

Industry Overview



Overview

Global Market
~\$950B

Combustibles
~\$850B (88%)

Heat-not-burn
~\$40B

Nicotine Pouches
~\$10B

Competitors



Market Trends & Growth

Combustibles

-3% to -5% CAGR

Smokers migrating
to reduced-risk
alternatives

Smoke-free

+20% CAGR

Regulatory
tailwind: FDA
MRTP
authorization

Nicotine Pouches

+30-40% YoY

Gen Z: lower
smoking, same
nicotine demand —
new categories
winning

Regulation

- **FDA MRTP authorization:** Both IQOS and ZYN granted Modified Risk Tobacco Product status — a barrier to entry, not a risk
- **Global momentum:** UK, Sweden, Japan, and New Zealand officially recognize smoke-free products as lower-risk than combustibles
- **Sweden blueprint:** World's first "smoke-free country" (smoking rate <5%) — a template for the industry's future

Situation Overview



Recent Events

FY 24: earnings beats expectations, smoke-free products start to take up to 40% revenue generated through core operations, ZYN experiences stock shortage.

Q1 2025: ZYN gained FDA approval, ZYN shipment increased by 53% globally and the smoke-free sector got a net organic growth of 20%, shipment volume increased by 14.4% YoY.

Q4 2025 & Q1 2026: Factory construction and expansion completed. ZYN experiences de-rating from hypergrowth to normal growth as supply constraints eased.

Investor Reactions

ZYN supply shortage viewed as a signal of massive latent demand

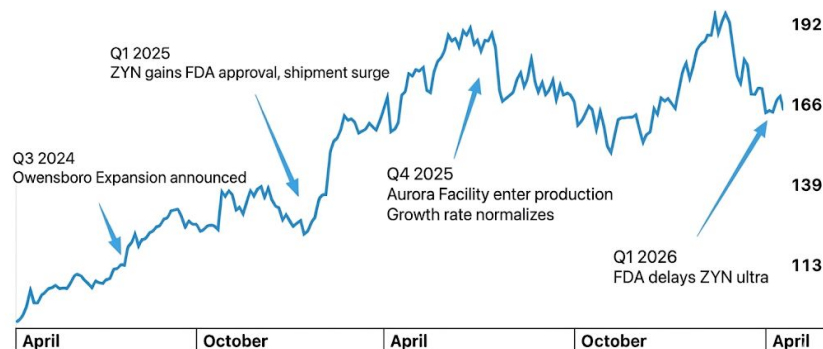
Stock Price +30%

Market re-rates PMI as FDA approval clears regulatory overhang

Stock Price +33%

The market reacted negatively after ZYN growth rate normalized

Stock Price -16%



Other Miscellaneous Reasons

2025 shipment growth flattered by Aurora launch + Owensboro expansion — underlying demand grew gradually, not in lockstep with shipments

Market sees normalization of delivery volume as a loss of brand, but the firm's shipping volume is still growing, in Q4 2025, smoke-free products shipment increased by 8.5%.

Investment Thesis I:

Capturing asymmetric time-arbitrage between regulatory noise and insulated earnings



De-risking the "Prong 2" Hurdle

Statutory Test (Section 911)	Requirement	Current Status
Prong 1: Individual Level	Product significantly reduces harm and tobacco-related disease risk to individual users	Satisfied
Prong 2: Population Level	Marketing must benefit the health of the population as a whole	Pending

Why Pending?

Behavioral risks (youth use, dual-use) are being solved via mitigation

After pending?

ZYN Ultra + IQOS ILUMA national rollout ->
Stable, High-Margin "Cash Cow"

PMI ZYN Ultra — Risk/Reward Profile



ZYN core holds ~70% U.S. nicotine pouch market share

Resilient Cash Flow Base

+37% YoY shipment growth

Strong organic momentum

High-strength segment only
~15-25% of total market

Limited exposure to this niche

"optionality loss" only

Core valuation largely intact

Investment Thesis II:

Industry averages mislead; PMI is strategically bifurcated by region, not in decline



PMI is in the transitional phase

Tobacco market is declining -> PMI priced at industry average

Three things the market missed

Strong pricing

Revenue from cigarette keep growing given global decreasing volume

Revenue won't fall
Combustible floor intact

SFP offense

SFP: 41% → 54% of revenue share
SFP: total revenue \$16.8B → \$29.9B(+77%)

Revenue grows
\$40.6B → \$55.0B by 2030

Relative lead

PMI SFP share: ~41%
MO: less than 15%
BAT: ~17%
5+ year head start

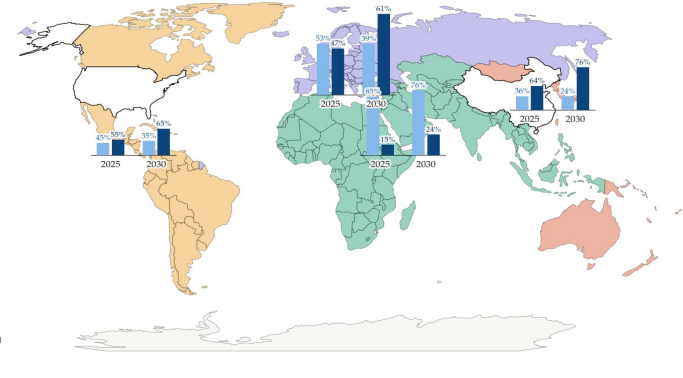
Differentiation
Not the same as MO/BAT

PMI is undervalued -> PMI's revenue mix is materially different from peers, current tobacco market doesn't fully reflect PMI

PMI revenue by region: SFP vs Combustible

2025A vs 2030E · bar height = USD revenue (shared scale) · % = share of regional total

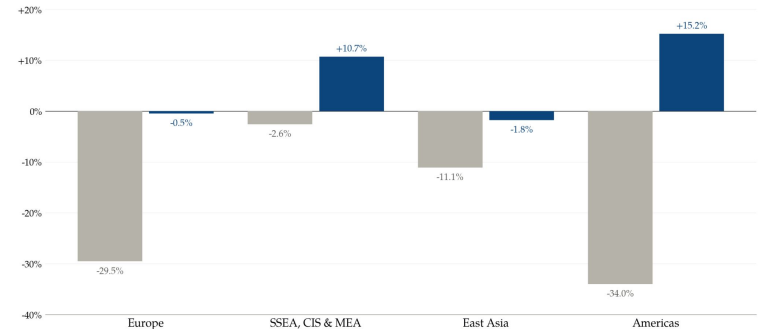
■ Europe ■ SSEA, CIS & MEA ■ East Asia ■ Americas ■ Cigarette ■ SFP



PMI's cigarette business outperforms the industry

Cumulative change, 2025 → 2030

■ Industry cigarette volume ■ PMI cigarette revenue



Investment Thesis III:

Growth Engine Buried in a Tobacco Wrapper



What if we only consider smoke-free products?

The Problem

Buried in a Tobacco Conglomerate

PMI's smoke-free segment sits inside a legacy tobacco company — investors see cigarettes first, growth second.



The Asset

High-Tech, Fast-Growth Products

IQOS and ZYN are science-driven, IP-protected platforms growing at ~12% YoY — closer to tech than tobacco



The Opportunity

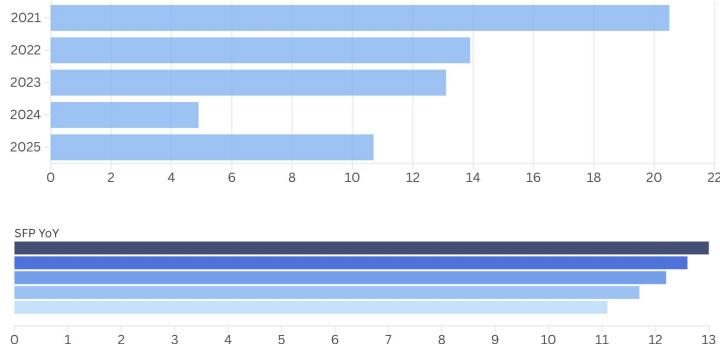
Legacy Multiple Understates Value

The market prices PMI at a blended tobacco multiple (16.55x), ignoring smoke-free's true growth profile.

Similarity between nicotine product and energy-drink product

Dimension		
High barriers to entry	Science & IP moat	Brand & marketing moat
Addictive	Nicotine	Caffeine
Recurring Usage	Daily stick	\$7.5B net sales
Consumer Base	21-30	18-30

Monster Energy Drink Annual Revenue Growth Rate V.S. PMI in the past



Both of these two companies share the same growth rate pathway

Estimated Multiple

Current MNST

EV/ EBITDA
28.25

Expect PMI Smoke-free

EV/ EBITDA
Move toward 28.25

Current Philip Morris International (PM)

EV/ EBITDA 16.55

Current Multiple is undervalued
Must be higher than
16.55

Valuation Model- DCF



KEY ASSUMPTIONS

v* (long-term cigarette decline):

Europe -6.5%, SSEA -0.5%, East Asia -2%, Americas -8%, derived from tobacco declined rate. Reflects structural decline trajectories as SFP substitution accelerates in mature/high-ASP markets (Europe, Americas) and plateaus in low-penetration emerging markets (SSEA). Mean reversion speed λ is calculated from 2024-2025 trajectory.

Switching Efficiency (72%):

72% of SFP volume sourced from switching smokers, 28% from new nicotine users. Upper end of academic 40-70% range, justified by PM Investor Relation Disclosure

Price Growth (monopoly premium + inflation):

Cigarette: Europe 4.5%, SSEA 4.4%, East Asia 3%, Americas 5%. PMI exercises pricing power (Marlboro/Parliament brand equity) plus regional inflation passthrough. East Asia capped at 3% due to Japan excise tax compression. SFP: uniform 3% across regions

SFP Growth Decay:

2026-2028 = 1.0 (no decay): category still in active expansion (IQOS ILUMA US launch, ZYN ULTRA FDA approval, new geographic markets). 2029-2030 = 0.8 (20% annual decay): Europe/East Asia approach saturation, category matures, growth mean-reverts toward sustainable long-term rate.

PMI Revenue Projection by Region (USD mld millions)

SECTION 1: MARKET DRIVERS

Cigarette Industry Volume Growth by Region

	2023	2024	2025	2026	2027	2028	2029	2030		
Europe	-3.2%	-4.1%	-4.8%	-5.3%	-5.6%	-5.9%	-6.1%	-6.2%	-6.5%	29.2%
SSEA, CIS & MEA	1.5%	0.8%	-0.2%	-0.4%	-0.5%	-0.5%	-0.5%	-0.5%	-0.5%	76.9%
East Asia	-1.2%	-1.5%	-1.8%	-1.9%	-2.0%	-2.0%	-2.0%	-2.0%	-2.0%	60.0%
Americas	-4.5%	-5.2%	-5.8%	-6.3%	-6.6%	-6.9%	-7.2%	-7.3%	-8.0%	21.4%

SFP Category Growth (penetration speed)

	2023	2024	2025	2026	2027	2028	2029	2030		
Europe	13.5%	14.2%	15.0%	12.0%	11.0%	10.0%	9.0%	8.0%	1.00	0.80
SSEA, CIS & MEA	21.2%	20.8%	21.5%	20.8%	14.0%	12.0%	10.0%	1.00	0.80	
East Asia	11.0%	10.5%	10.2%	9.0%	8.5%	8.0%	7.5%	7.0%	1.00	0.80
Americas	2.0%	12.0%	25.0%	7.0%	9.0%	11.0%	13.0%	15.0%	1.00	0.80

SECTION 2: UNLEVERED MARKET GROWTH

Cigarette Net Growth (= Industry - SFP substitution)

	2023	2024	2025	2026	2027	2028	2029	2030		
Europe	-7.2%	-8.3%	-9.3%	-8.9%	-8.9%	-8.9%	-8.8%	-8.6%	0.72	0.42
SSEA, CIS & MEA	-4.8%	-5.4%	-6.6%	-5.2%	-5.0%	-4.7%	-4.1%	-3.5%	0.72	0.42
East Asia	-4.5%	-4.6%	-4.8%	-4.6%	-4.5%	-4.4%	-4.2%	-4.1%	0.72	0.42
Americas	-5.1%	-8.8%	-13.3%	-8.4%	-9.3%	-10.2%	-11.0%	-11.8%	0.72	0.42

SECTION 3: PMI GROWTH RATES (after beta)

PMI Cigarette Growth (= $\beta \times$ market growth)

	2023	2024	2025	2026	2027	2028	2029	2030		
Europe	-2.6%	-1.2%	-2.3%	-4.4%	-4.5%	-4.4%	-4.4%	-4.3%	0.50	
SSEA, CIS & MEA	1.5%	2.1%	1.2%	-2.6%	-2.5%	-2.3%	-2.0%	-1.7%	0.50	
East Asia	-5.8%	-4.3%	-4.8%	-3.5%	-3.4%	-3.3%	-3.2%	-3.1%	0.75	
Americas	-2.1%	-0.8%	-1.1%	-1.7%	-1.9%	-2.0%	-2.2%	-2.4%	0.20	

PMI SFP Growth (= $\beta \times$ SFP market growth)

	2023	2024	2025	2026	2027	2028	2029	2030		
Europe	11.8%	9.4%	8.6%	10.2%	9.4%	8.5%	7.7%	6.8%	0.85	
SSEA, CIS & MEA	23.4%	18.9%	14.5%	13.6%	12.8%	11.9%	10.2%	8.5%	0.85	
East Asia	15.2%	13.1%	11.2%	9.9%	9.4%	8.8%	8.3%	7.7%	1.10	
Americas	3.5%	12.0%	15.4%	5.3%	6.8%	8.3%	9.8%	11.3%	0.75	

SECTION 5: SUMMARY

Total Revenue by Region (USD millions)

	2023	2024	2025	2026	2027	2028	2029	2030
Europe			17,111	18,196	19,346	20,555	21,811	23,100
SSEA, CIS & MEA			12,051	12,532	13,063	13,648	14,277	14,942
East Asia			6,632	7,175	7,766	8,406	9,092	9,823
Americas			4,854	5,150	5,509	5,943	6,473	7,124
Total PMI Revenue			40,648	43,053	45,684	48,551	51,653	54,988

YoY growth

5.9% 6.1% 6.3% 6.4% 6.5%

SFP Revenue Share by Region

	2023	2024	2025	2026	2027	2028	2029	2030
Europe			47.5%	50.7%	53.7%	56.5%	59.0%	61.3%
SSEA, CIS & MEA			15.1%	17.0%	18.9%	20.9%	22.6%	24.2%
East Asia			63.6%	66.5%	69.2%	71.7%	73.9%	75.9%
Americas			55.4%	56.6%	58.2%	60.2%	62.5%	65.0%
PMI Overall SFP Share			41.5%	44.2%	46.9%	49.6%	52.0%	54.3%

Cigarette Revenue Share by Region

	2025	2026	2027	2028	2029	2030
Europe	52.5%	49.3%	46.3%	43.5%	41.0%	38.7%
SSEA, CIS & MEA	84.9%	83.0%	81.1%	79.1%	77.4%	75.8%
East Asia	36.4%	33.5%	30.8%	28.3%	26.1%	24.1%
Americas	44.6%	43.4%	41.8%	39.8%	37.5%	35.0%

Total Revenue by Product Category

	2025	2026	2027	2028	2029	2030
Cigarette	23,795	24,011	24,240	24,491	24,786	25,130
Cigarette YoY		0.9%	1.0%	1.0%	1.2%	1.4%
SFP	16,853	19,043	21,444	24,060	26,867	29,859
SFP YoY		13.0%	12.6%	12.2%	11.7%	11.1%

Valuation Model- DCF



Unlevered Free Cash Flow Build	2026	2027	2028	2029	2030
Revenue	43,053	45,684	48,551	51,653	54,988
Gross Profit	29,508	31,930	34,564	37,415	40,486
EBIT	16,591	18,225	19,999	21,919	23,989
(-) Operating Tax	4,103	3,594	4,200	4,603	5,038
NOPAT	12,488	14,631	15,799	17,316	18,952
(+) D&A	2,397	2,557	2,729	2,912	3,107
(-) NWC Change	(89)	135	143	155	171
(-) CAPEX	1,636	1,759	1,893	2,040	2,200
Unlevered Free Cash Flow	13,338	15,295	16,491	18,032	19,688

WACC Calculation		Equity Bridge	
Rd (pre-tax)	3.25%	Total PV of FCF	70,282
Tax Rate	21.0%	NPV of Terminal Value	339,189
Cost of Debt (after-tax)	2.57%	Enterprise Value	409,471
Risk-free Rate (Rf)	4.30%	(-) Debt	48,835
Beta (β)	0.63	(+) Cash	4,872
Market Risk Premium	4.50%	(-) Net Debt	43,963
Cost of Equity (Re)	7.14%	(-) NCI	1,966
WACC	6.47%	Equity Value	363,542
		EV / EBITDA	15.1x
		P/E Ratio	20.3x
		Total Shares Outstanding	1,556,656,689
		Stock Price	\$ 233.54

Sensitivity 1: WACC vs Terminal Growth Rate					
Stock Price	Perpetuity Growth Rate (g)				
WACC	1.0%	1.5%	2.0%	2.5%	3.0%
5.5%	\$241.87	\$271.51	\$309.70	\$360.76	\$432.52
6.0%	\$214.38	\$237.66	\$266.81	\$304.37	\$354.60
6.5%	\$191.93	\$210.64	\$233.54	\$262.21	\$299.16
7.0%	\$173.25	\$188.57	\$206.98	\$229.50	\$257.71
7.5%	\$157.46	\$170.20	\$185.28	\$203.38	\$225.55

Sensitivity 2: Combustible vs Smoke-Free 2030 Growth Rate					
Stock Price	Combustible Growth				
Combustible Growth	5.1%	8.1%	11.1%	14.1%	17.1%
-0.6%	\$191.80	\$206.40	\$222.65	\$240.69	\$260.65
0.4%	\$197.15	\$211.74	\$227.99	\$246.03	\$266.00
1.4%	\$202.70	\$217.29	\$233.54	\$251.58	\$271.55
2.4%	\$208.46	\$223.06	\$239.30	\$257.34	\$277.31
4.5%	\$221.38	\$235.97	\$252.22	\$270.26	\$290.23

Sensitivity 3: SG&A/Net Revenue vs Decreasing Rate of Tax Margin					
Stock Price	Decreasing Rate of Tax Margin				
SG&A / Net Rev	-1.0%	0.0%	1.0%	2.0%	3.0%
-34.0%	\$172.53	\$193.41	\$210.09	\$223.74	\$235.13
-32.0%	\$184.25	\$205.13	\$221.82	\$235.47	\$246.85
-30.0%	\$195.98	\$216.86	\$233.54	\$247.19	\$258.58
-28.0%	\$207.70	\$228.58	\$245.26	\$258.92	\$270.30
-26.0%	\$219.43	\$240.31	\$256.99	\$270.64	\$282.03

Risks & Mitigants



Risk #1

U.S. Regulatory Shock on Nicotine

- Adverse FDA action materially impacts U.S. oral nicotine volumes, creating perceived earnings risk

Risk #2

FX & Emerging Market Volatility

- Large EM exposure introduces FX translation and macro noise, masking underlying operating performance

Risk #3

ESG and Insitution Concerns

- Studies challenging "SMP reduced harm" claims could trigger excise tax and ESG-driven divestment

Mitigant #1

Regulatory impact is over-discounted and time-diffused:

- Multi-year rulemaking + litigation lag delays real impact
- >70% EBIT ex-U.S. limits earnings exposure
- Nicotine demand substitutes, not disappears (portfolio rebalancing)

Mitigant #2

FX is translation, not economic impairment

- Pricing power offsets local inflation over time
- Cash flows remain locally resilient
- Creates entry dislocations for time-arbitrage investors

Mitigant #3

FDA MRTP Authorization and pricing power

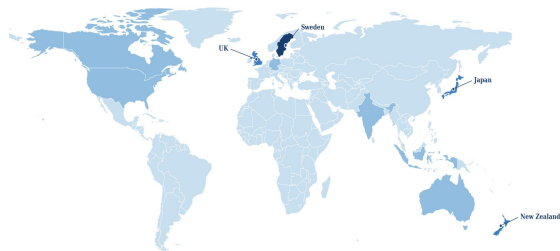
- Inelastic demand with high pricing power offsets tax increase
- FDA MRTP authorization is strong evidence of lower harm
- Geographic arbitrage through EM's diversified global presence

Catalysts



Smoke-Free Policy Momentum

<5% Sweden target smoking rate



- World's first "smoke-free nation" template
- Global regulatory reform wave expected
- ESG re-rating unlocks constrained capital

Non-Core Divestitures

\$500M Aspeya assets value

Jan 2025

Vectura divested to Molex

Exit "Beyond Nicotine" experiment

Jan 2026

Aspeya carved out

Standalone segment = divest signal

Pending

U.S. cigar divestiture

Validates smoke-free focus

MRTTP & PMTA Approvals

Apr 17 IQOS reauthorized as MRTTP by FDA



- TPSAC: "scientifically accurate" finding
- ILUMA unlocks nationwide U.S. rollout
- Current pilot: Austin / Ft. Lauderdale / Jackson

Appendix: Works Cited



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Monster Beverage Corporation. **Monster Beverage Reports Fourth Quarter and Full-Year 2025 Financial Results**. February 26, 2026.

Appendix: Income Statement



Income Statement (USD millions)

Gross Profit	2023	2024	2025	2026	2027	2028	2029	2030
Revenue								
Business Revenue	84,578	89,441	93,859	97,170	100,832	104,845	109,186	113,830
Excise Taxes	(49,404)	(51,563)	(53,211)	(54,116)	(55,147)	(56,294)	(57,533)	(58,842)
Total Revenue	35,174	37,878	40,648	43,053	45,684	48,551	51,653	54,988
Cost of Revenue	(12,893)	(13,329)	(13,366)	(13,546)	(13,754)	(13,987)	(14,238)	(14,503)
Total Gross Profit	22,281	24,549	27,282	29,508	31,930	34,564	37,415	40,486
Total Operating Expenses	(10,060)	(11,147)	(12,349)	(12,916)	(13,705)	(14,565)	(15,496)	(16,497)
Selling, General and Administrative Expenses	(10,060)	(11,147)	(12,349)	(12,916)	(13,705)	(14,565)	(15,496)	(16,497)
Total Operating Profit/(Loss)	12,221	13,402	14,933	16,591	18,225	19,999	21,919	23,989
Interest Expense	1,526	1,783	1,587	1,521	1,521	1,521	1,521	1,521
Interest Income	465	620	621	177	132	148	167	188
Total Net Finance (Income)/Expense	1,061	1,143	966	1,344	1,389	1,373	1,354	1,333
Pretax Income	11,160	12,259	13,967	15,248	16,836	18,626	20,565	22,657
Effective Tax Rate	22.4%	24.7%	19.7%	21.0%	21.0%	21.0%	21.0%	21.0%
Operating Tax	2,735	3,315	2,945	3,484	3,827	4,200	4,603	5,038
Net Income (adjusted)	8,662	9,227	11,213	12,046	13,301	14,715	16,246	17,899
Total Depreciation, Amortization and Depletion	1,398	1,787	1,996	2,397	2,557	2,729	2,912	3,107
EBITDA(adjusted)	13,619	15,189	16,929	18,988	20,782	22,728	24,830	27,096

Source

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

PitchBook, PM FY2023-2025

[illegible]

Assumption: long-term borrowing rate

Assumption: based on FY2024-2025 average

PwC Book, PM FY2023-2025 (Gross PP&E)

Assumption: CAPEX/Revenue trending

Assumption: estimated useful life

PitchBook, FY2023-2025 (Accumulated Depr.)

Appendix: Cash Flow Statement



Cash Flow Statement (USD millions)

	2023	2024	2025	2026	2027	2028	2029	2030
Cash Flow from Operating Activities								
Net Income				12,046	13,301	14,715	16,246	17,899
D&A				2,397	2,557	2,729	2,912	3,107
Adjustment of Income Statement				2,397	2,557	2,729	2,912	3,107
Net Increase of Net Working Capital				(89)	135	143	155	171
Adjustment of Balance Sheet				(89)	135	143	155	171
Net Cash Flow from Operating Activities				14,531	15,723	17,300	19,003	20,835
Cash Flow from Investing Activities								
CAPEX				(1,636)	(1,759)	(1,893)	(2,040)	(2,200)
Acquisition of new intangible assets				(1,251)	(1,301)	(1,353)	(1,407)	(1,463)
Net Cash Flow From Investing Activities				(2,887)	(3,060)	(3,247)	(3,448)	(3,663)
Cash Flow from Financing Activities								
Cash Flow from Short-term Borrowing				-	-	-	-	-
Cash Flow from Long-term Borrowing				(10,000)	-	-	-	-
Dividends Paid				(623)	(11,971)	(13,243)	(14,622)	(16,109)
Net Cash Flow from Financing Activities				(10,623)	(11,971)	(13,243)	(14,622)	(16,109)
Increase(Decrease) in cash during the period				1,021	693	811	934	1,063
Beginning Cash Balance				4,872	5,893	6,598	7,396	8,330
Ending Cash Balance				5,893	6,586	7,396	8,330	9,393

Source

Dividend Payout Ratio (assumption)

90.0%

Assumption: 90% payout, consistent with PM historical (78-91)